

Calderwood Partners LLC

www.calderwoodpartners.com

May 9, 2019

Joseph Wallace
Chief Financial Officer
Carroll, Merritt and Williams

Dear Mr. Wallace:

I am writing to set down, in the plain terms we prefer for such things, the basis on which our firm would take up the customer retention work that Carroll, Merritt and Williams has asked us to consider, so that once you have read this letter and, if it answers to the conversations we have had, signed it below, there is a single document to which either of us can return should a question later arise about what we agreed. I have been careful throughout to claim only as much as I am confident the firm can stand behind, in the work itself and in what we will charge for it alike, and if any part of what follows strikes you as promising more than that, I would far rather you put it to me before you sign than let it pass.

The Assignment as We Understand It

As I understand what you have asked of us, Carroll, Merritt and Williams has watched enough good customers leave over the last few years to want a considered look, from outside, at why they go and at what might be done to keep more of them, and you have asked us to build that look into a program you can actually run rather than a study you will file. Our work will move from an orderly reading of who is leaving and when, through the reasons that sit behind the pattern, to a set of recommendations on where retention can be improved and on how the effort to improve it ought to be organized and paid for. What the engagement does not take in is the running of your commercial relationships, which stays yours to direct, nor legal, tax, or accounting advice, on which you should keep relying on the advisers who ordinarily give it; where our analysis touches those matters we offer a reasoned business view and not a professional opinion in their place.

How We Would Go About It

Our manner of working is deliberate, and I hope you will find it plain rather than clever. We begin by listening, to you and to the people on your side who already carry a working sense of why customers stay and why they leave, and only then do

we set down the few things the question truly turns on and build the analysis outward from them, so that every figure we eventually place in front of you can be traced back to where it came from. Where the evidence will carry a firm recommendation you will have one; where it will carry only a range or a caution, you will have that instead, because a recommendation that outruns what we actually know would be of no use to you and no credit to us.

The People Who Would Carry the Work

I will keep my own hand on the engagement and will read anything of consequence before it leaves the firm under our name, but the daily conduct of the work would rest with two of our people whom I would ask you to come to know. Deborah Jimenez, an Engagement Manager, would own the running of the assignment day to day, holding the workplan, chairing the working sessions, and keeping the cadence of the reports you receive; and Mary Parker, a Research Associate, would assemble the customer and market background that grounds the analysis and would keep the sources on file, so that no figure we cite is ever left without a home. You are welcome to reach me whenever you wish, though for most day-to-day matters Deborah Jimenez will be the quicker route to an answer.

Our Fee, and the Terms of Payment

Our fee for the engagement as I have described it is \$112,500, which covers the time of the people named above through the close of the work. We will render invoices against that amount as the engagement proceeds, and each will be payable within thirty days of your receipt of it. The fee covers our people and their time and not the incidental costs of the work, such as travel or the reproduction of materials, which we will incur only with your agreement and pass through to you at what they cost us; and should the shape of the assignment change in any material way from what this letter contemplates, I will raise the question of the fee with you and we will settle it together before any further work is done, so that nothing ever reaches you on an invoice as a surprise.

When the Work Begins, and How Either of Us May End It

The engagement would begin on May 19, 2019, and I would ask you to expect it to run for something on the order of nine months, though I offer that as an honest estimate of the work rather than a promise about the calendar, since we will treat the assignment as finished when it is genuinely done and not merely when a set number of months has passed. Either of us may bring the engagement to an end on thirty days' written notice to the other, and if you should choose to do so you will

owe us for the work properly performed to that point and for any costs already committed on your behalf, and for nothing beyond that.

The Confidence We Will Keep

Everything we learn about Carroll, Merritt and Williams in the course of this work we will hold in confidence and use only for the purposes of the engagement. That obligation binds every member of the team, it survives the end of our work together, and it reaches the fact of our involvement as fully as its substance. We would ask the same of you in respect of the methods and the written materials we place in your hands, which are the firm's own way of working and are meant for your use and not for wider circulation.

The Limit of Our Liability

We will perform the work with the care and skill you are entitled to expect of a firm engaged for it, and we stand behind what we do. We do not, however, govern the commercial decisions that Carroll, Merritt and Williams will in the end take on the strength of our advice, nor the conditions of the markets in which you hold and lose your customers, and so, save to the extent the law will not permit such a limit, our liability to you arising out of this engagement is limited to the fees paid under it.

The Law Governing This Letter

This agreement is governed by the law of the state in which our firm is established, and any dispute arising under it will be settled by the courts of that state. Should any single provision of this letter be found unenforceable, the remainder will continue in force, unaffected by it.

If this letter sets out the understanding we reached, I would be grateful if you would sign one copy where indicated below and return it to me, keeping the other for your file; once your signed copy is in my hands, Deborah Jimenez will write to you within the week to fix the first meetings and the opening requests for information, so that we can begin without delay.

Julie Ramsey

Managing Principal

Date: May 9, 2019

Joseph Wallace

Chief Financial Officer, Carroll, Merritt and Williams

Calderwood Partners LLC

Date: May 9, 2019